result, while the total debt of the states would remain unchanged, the cost of servicing the loans would come down. This is the fiscal benefit to the states.

All collections from small savings, which include post office deposits, Kisan Vikas Patras, National Savings Certificates, and the Public Provident Fund (PPF), flow to the public account. After adjusting for repayments to the depositors of these small savings instruments, the entire net collections are lent to the states. Of the amount apportioned to each state based on the collection in the respective states, 70 per cent is made available as cash transfer, while the remaining 30 per cent is used for repaying the high cost loans of 13 per cent and above.

Apart from this, states are also now allowed to use additional market borrowings at an average interest rate of less than 6.5 per cent to retire high cost debt.

In simple language, what this means is that while the small savings deposits except for the PPF have a maturity of five to six years, the repayment of loans given to states against small savings is over a period of 25 years. If interest rates were to rise over the medium to long term, this could obviously create a problem for the centre, since the cost of its borrowings would be going up, while the return on its existing loans to the states would remain locked. It is to take care of this risk that the higher spreads is needed.

DECOUPLING THEORY

Decoupling theory holds that Asian economies, especially emerging ones, no longer depend on the United States economy for growth, leaving them *insulated* from a severe slowdown there, even recession – looked true for some time as Asian stocks rose while socks in the US fell - however, as fears of recession mounted in the US, stocks declined heavily. Looking this happen in late 2008 the decoupling theory regarding the Asian as well as the EU economies have now lost ground. But still the emerging economies are able to have higher growth rates and exports in comparision to the US – that is why the theory is still debated by the experts.